

IMPLEMENTATION OF THE MUNICIPAL REGULATIONS ON A STANDARD CHART OF ACCOUNTS

mSCOA INTEGRATED CONSULTATIVE FORUM (ICF)

DRAFT REGULATIONS: MINIMUM BUSINESS PROCESSES AND
SYSTEM FUNCTIONAL REQUIREMENTS

SYSTEM FUNCTIONALITY GROUPING : ASSET MANAGEMENT AND MAINTENANCE

PRESENTED BY:

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Title:
*mSCOA Regulations
Team*

04 December 2025



national treasury

Department:
National Treasury
REPUBLIC OF SOUTH AFRICA



Participation and Expectations

- **Active Contribution:** Participants are encouraged to share technical insights, municipal experiences, and system-related considerations that may influence the feasibility and effectiveness of the proposed requirements. Refrain from mentioning specific systems but rather focus on the system functionality being considered to be regulated.
- **Constructive Inputs:** Feedback should aim to strengthen regulatory clarity, enhance practicality in municipal environments, and support improved financial governance.
- **Focus on Alignment:** Participants should consider alignment with the MFMA, GRAP, mSCOA seven-segment classification, Treasury Norms & Standards, and broader digital transformation priorities.
- **Forward-Looking Perspective:** Inputs should reflect both current municipal realities and future readiness for strengthened integration, automation, and regulatory compliance.
- Comments due 31 January 2026. Email comments to mscoaregs@treasury.gov.za

Project Documentation

- Refer to NT website [mSCOA Minimum Requirements - All Documents \(treasury.gov.za\)](https://mfma.treasury.gov.za/RegulationsandGazettes/MunicipalRegulationsOnAStandardChartOfAccountsFinal/mSCOA%20MinimumRequirements)
- Documents can also be accessed via the one drive link: [E1_Draft Regulations - Consultation - Shared](#)

The screenshot shows the website mfma.treasury.gov.za/RegulationsandGazettes/MunicipalRegulationsOnAStandardChartOfAccountsFinal/mSCOA%20MinimumRequirements. The page features the National Treasury logo and a navigation menu on the left. The main content area displays the title [mSCOA Minimum Requirements](#) and a breadcrumb trail: MFMA > Regulations and Gazettes > Municipal Regulations On A Standard Chart Of Accounts > mSCOA Minimum Requirements. Below this, there is a table of documents with columns for Type, Name, Modified, and Modified By. The table lists six documents, all modified by Sephiri Tlhomeli. A 'View: All Documents' dropdown is visible in the top right corner of the table area.

Type	Name	Modified	Modified By
Folder	Consultation Papers	4/26/2024 12:03 PM	Sephiri Tlhomeli
Folder	Correspondence	4/26/2024 12:02 PM	Sephiri Tlhomeli
Folder	Final Documents	4/26/2024 12:03 PM	Sephiri Tlhomeli
Folder	ICF	4/26/2024 12:00 PM	Sephiri Tlhomeli
Folder	Nominations Forms	4/26/2024 12:03 PM	Sephiri Tlhomeli
Folder	Training	4/26/2024 12:03 PM	Sephiri Tlhomeli
Folder	Working Groups	5/16/2024 3:15 PM	Sephiri Tlhomeli

Introduction

- This presentation outlines the principles that will be regulated in terms of the **Asset Management and Maintenance System Functionality**.
- **It defines the minimum system requirements required to strengthen asset governance, maintenance control, financial oversight, and institutional accountability across municipalities and municipal entities. The purpose is to promote consistent, transparent, and well-controlled asset management and maintenance practices that support improved service delivery, regulatory compliance, and sound financial management.**
- The system functionality requirements proposed for regulation have been documented in detail within the Regulations Folder (Excel spreadsheet).
- **“Regulated Functional Requirements”** means the prescribed system functionality requirements set out in these Regulations which municipalities and municipal entities are required to comply with, including the minimum controls, validations, integrations, classifications, and process capabilities necessary to ensure that all financial, performance and regulatory information is processed, recorded, safeguarded and reported in accordance with the Municipal Finance Management Act, the Standards of GRAP, the mSCOA classification framework, the Division of Revenue Act and Treasury Norms and Standards. Regulated Requirements constitute mandatory national norms and standards which must be implemented, maintained and adhered to by every municipality and municipal entity

Introduction

- “**Recommended Functional Requirements**” means optional system functionality features that extend beyond the Regulated Requirements prescribed in these Regulations, and which municipalities and municipal entities are encouraged to implement to enhance operational efficiency, strengthen internal controls, improve data quality, or optimise service delivery processes. These requirements are not mandatory system requirements, may be adopted based on organisational needs and capacity, and must not conflict with or undermine compliance with the Municipal Finance Management Act, the Standards of GRAP, the mSCOA classification framework, the Division of Revenue Act or Treasury Norms and Standards.
- The proposed Regulations apply to all municipalities and municipal entities to the extent that the regulated business processes and system functionality are applicable and relevant within their specific operational environments. Where a municipality or municipal entity **does not perform a particular function and therefore does not execute the associated business process group, process, sub-process, or activity, it is not required to comply with the corresponding regulated functional requirements linked to that business process group, process, sub-process, or activity.**
- Accordingly, the business processes that are operational within each municipality or municipal entity will determine the functional requirements that must be implemented, provided that such functionality is regulated under the proposed Regulations.

Introduction

- Where a municipality or municipal entity is **required to perform a function in terms of legislation, National Treasury norms and standards, or any other binding regulatory document**, the corresponding business process group, business process, and sub-processes associated with that function must be fully implemented. This includes the mandatory implementation of all regulated system requirements linked to those business processes.
- In such cases, the municipality or municipal entity is obligated to ensure that the prescribed business processes and system functionality are operational, embedded, and consistently applied to support compliance with the relevant legislative and regulatory framework.
- Municipalities and municipal entities are required to commence with the planning and budgeting for the implementation of the costing requirements outlined in these draft Regulations. This includes preparing for the establishment, operationalisation, and maintenance of processes and supporting system functionality requirements. National Treasury is currently considering the nature and extent of assistance that may be provided to support municipalities and municipal entities in meeting these requirements.

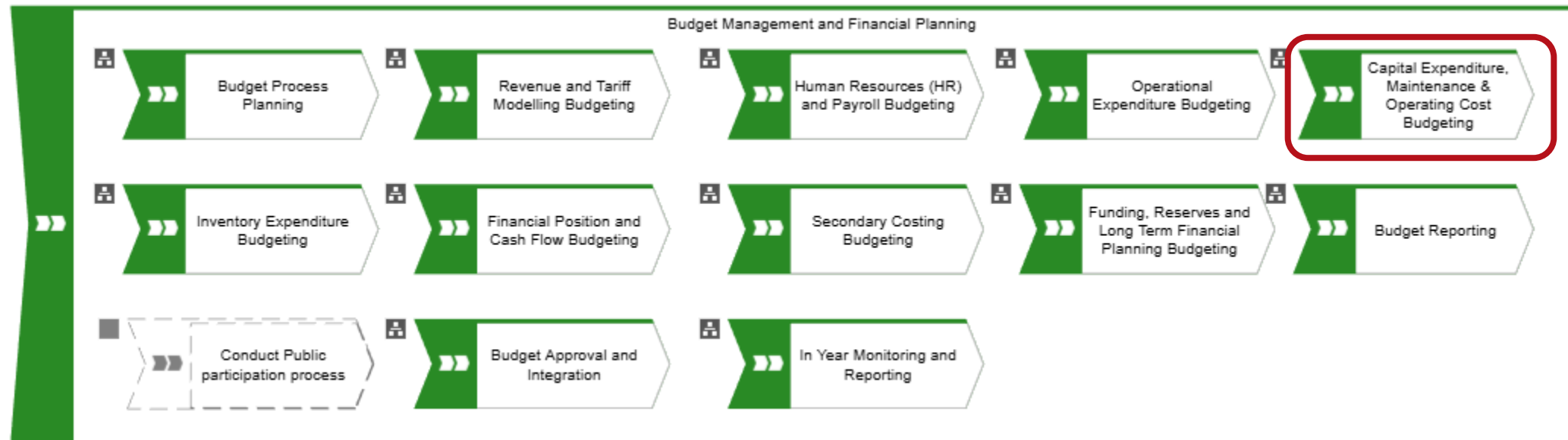
System Functionality Group Scope: Asset Management and Maintenance Management

The **Asset Management system functionality group** contains the following system functionalities:



Key Process Context

The **Asset Management system Functionality group** is linked to certain business processes within the **Budget Management and Financial Planning** business process group.



Key Process Context

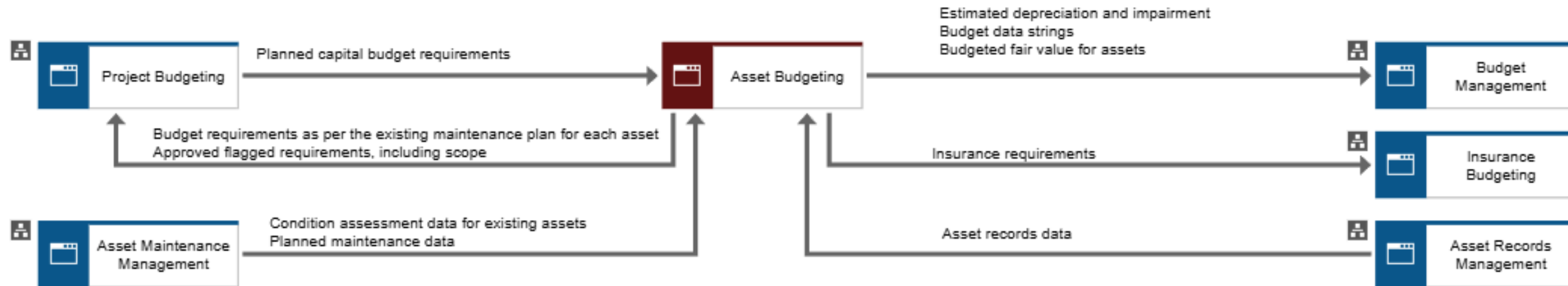
The **Asset Management System Functionality Group** is linked to certain business processes within the **Asset and Maintenance Management and Reporting** business process group.



Key Principles applied in System Requirements to be Regulated:

Asset Budgeting

Key Integration Requirements



Note: Requirements are not exhaustive – refer to detailed system requirements word document and/or excel version

Key Integration Requirements NOT to be Regulated

- Enable the ability to automatically retrieve documents from the Records Management System Functionality through a document retrieval interface integrated into relevant system functionality.

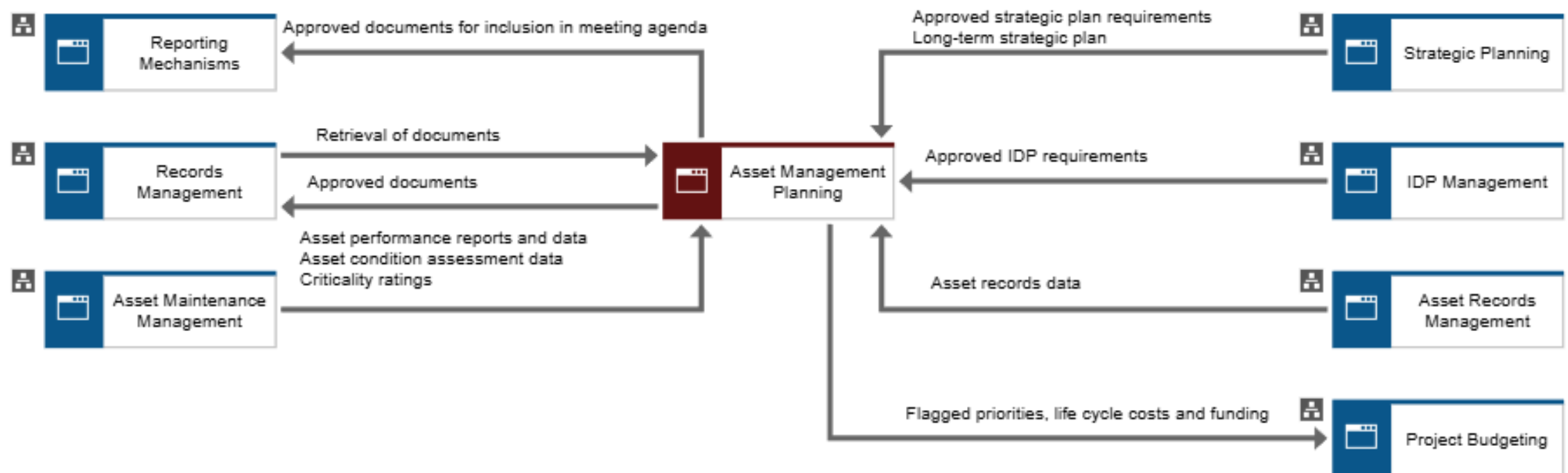
Key Principles in System Requirements to be Regulated

- Assess asset conditions by viewing condition ratings and criticality scores to identify assets requiring maintenance, renewal, upgrade, or disposal.
- Integrate planned maintenance information from Asset Maintenance Management to automatically flag assets for budgeting and capture scope requirements for capital projects.
- Link approved asset requirements to Project Budgeting and integrate capital budget data into Asset Budgeting.
- Assign useful lives and calculate projected depreciation for existing and planned assets based on expected completion dates.
- Estimate fair values and impairment for assets where required and integrate approved values into Budget Management.
- Capture insurance requirements and integrate insurance budgets into Insurance Budgeting Functionality.
- Validate mSCOA segmentation on all asset-related budget data strings, approve depreciation, impairment and disposal budgets, and integrate approved asset budget data strings into Budget Management.
- Support disposal planning by capturing planned disposal dates, estimating revenue, projecting carrying values, and submitting approved disposal budgets for inclusion in the budget.

Key Principles applied in System Requirements to be Regulated:

Asset Management Planning

Key Integration Requirements



Note: Requirements are not exhaustive – refer to detailed system requirements word document and/or excel version

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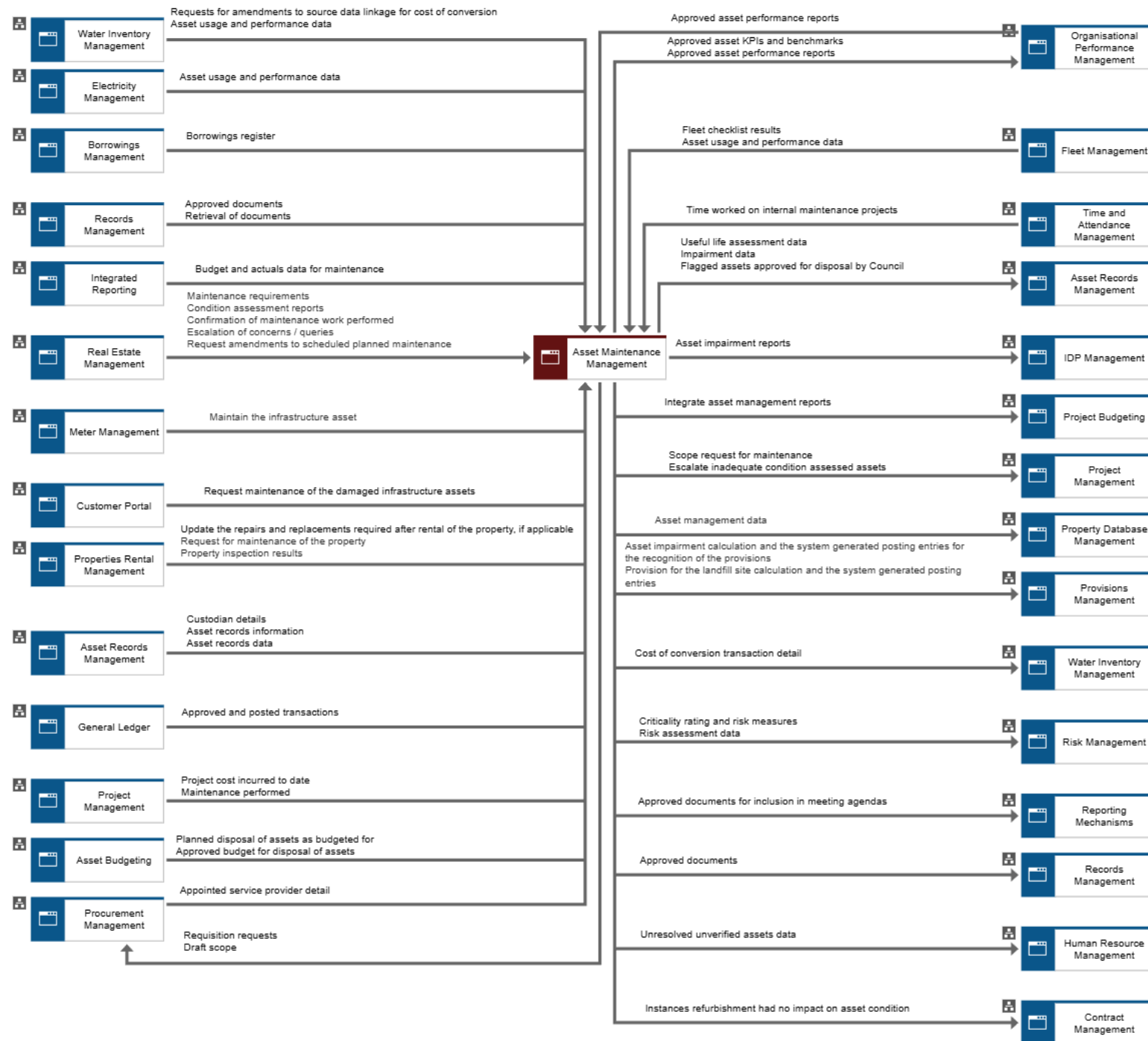
Key Principles in System Requirements to be Regulated

- View asset performance reports and integrate the municipality's long-term strategic plan and approved IDP into the Asset Management Strategy.
- Use embedded templates to capture strategic requirements, link objectives from the strategic plan and IDP, and maintain controlled versions of the strategy.
- Create Asset Management Plans by infrastructure type using standardised templates.
- Integrate condition assessments, asset register information, and criticality ratings into planning.
- Populate plans with risk profiles, performance information, and lifecycle costing (acquisition, maintenance, renewal, and disposal).
- Flag priority assets for potential projects, estimate funding sources, and capture narrative planning information.
- Approve plans for submission, route documents through reporting mechanisms, retain records electronically, and integrate approved priorities, lifecycle costs, and funding into Project Budgeting.

Key Principles applied in System Requirements to be Regulated:

Asset Maintenance Management

Key Integration Requirements



Note: Requirements are not exhaustive – refer to

Key Integration Requirements NOT to be Regulated

- Enable the ability to automatically retrieve documents from the Records Management System Functionality through a document retrieval interface integrated into relevant system functionality.

Key Principles in System Requirements to be Regulated

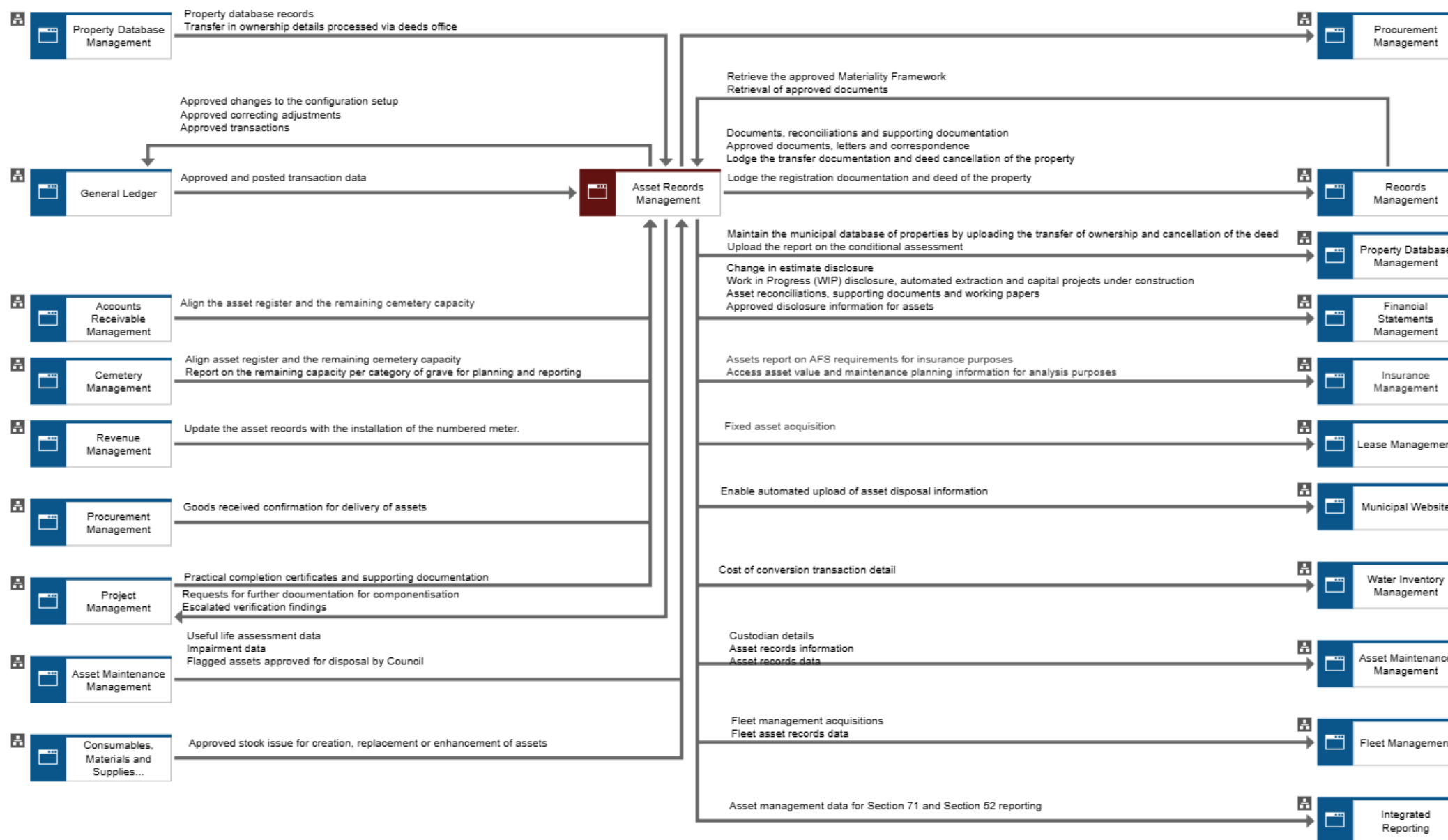
- Integrate asset records from Asset Records Management to create and maintain structured maintenance plans for all asset types.
- Embed standardised maintenance plan templates incorporating OEM requirements, Council policies, timelines, components and resource needs.
- Enable electronic scheduling, task assignment and notifications based on due dates.
- Integrate procurement, inventory and project management to support materials requests, service provider execution and internal labour bookings.
- Track planned and actual maintenance activities and display progress by asset, location and responsible official.
- Escalate overdue or critical maintenance for management intervention.
- Integrate cost data and approved transactions to the General Ledger to ensure maintenance activities are financially accountable and auditable.
- Enable full document retention within Records Management for all maintenance plans, approvals and supporting evidence.

Key Principles in System Requirements to be Regulated

- Perform condition and utilisation assessments using embedded checklists to support useful life re-assessment, impairment testing and reversal calculations.
- Automate impairment indicators, calculation of recoverable amounts and creation of impairment adjusting entries for financial processing.
- Manage landfill site rehabilitation provisions using cost models, discounting calculations, capitalisation and interest recognition.
- Enable asset verification using electronic scanning, verification plans, exception reporting and update of asset records.
- Assess criticality ratings and performance KPIs to identify at-risk assets.
- Integrate performance results to organisational performance management and generate dashboards, analytics and exception reports.
- Support asset disposal through condition reporting, valuation estimates and Council approval workflows.
- Ensure full compliance through electronic approvals, audit trails, and integration to reporting mechanisms and Records Management.

Key Principles applied in System Requirements to be Regulated:

Asset Records Management



Note: Requirements are not exhaustive – refer to detailed system requirements word document and/or excel version

Key Integration Requirements NOT to be Regulated

- Enable the ability to automatically retrieve documents from the Records Management System Functionality through a document retrieval interface integrated into relevant system functionality.

Key Principles in System Requirements to be Regulated

- Enable configuration management for asset transactions by extracting setup reports, maintaining mSCOA classification linkages, and approving configuration changes aligned to the General Ledger.
- Maintain the asset register structure, including asset groupings, residual values, depreciation methods, iGRAP 18 configuration and treatment of assets below the capitalisation threshold.
- Automate depreciation calculations based on remaining useful life and residual values, apply validation rules, generate exception reports, and approve posting entries for financial processing.
- Integrate asset impairment and useful-life revisions from asset maintenance.
- Manage asset disposals by capturing disposal methods, generating disposal data strings, calculating depreciation up to disposal date, recognising profit or loss, approving derecognition entries, and generating Council-level disposal reports.
- Ensure all approvals, supporting documentation and reporting outputs are integrated with Records Management and reporting mechanisms.
- Automate asset acquisition processing by validating mSCOA classification, confirming delivery documentation, allocating unique identifiers, and assigning useful-life policies by asset class.
- Integrate capital acquisitions, stock issues, donated assets, fleet assets and assets below the capitalisation threshold into the asset register with supporting evidence.

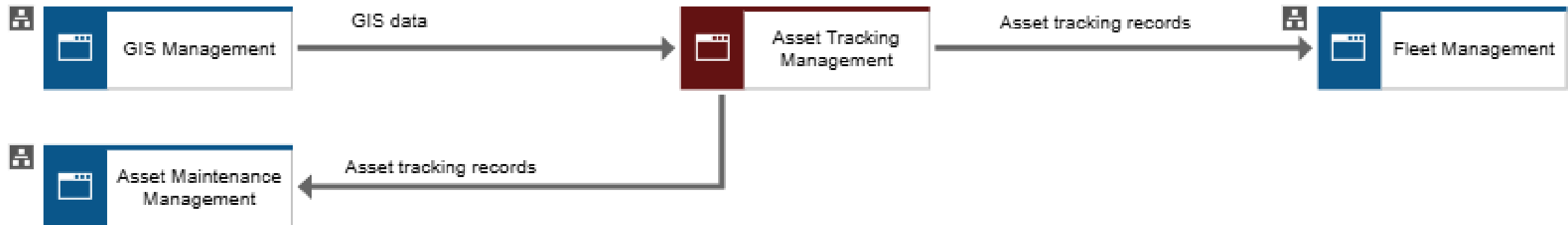
Key Principles in System Requirements to be Regulated

- Enable custodian management through electronic allocation, acceptance and transfer tracking.
- Support componentisation for complex assets by applying embedded structures and integrating approved entries with the General Ledger.
- Generate detailed asset registers, reconciliation reports and disclosure outputs, including Appendix B and iGRAP 18.
- Validate alignment between asset records, property registers and the General Ledger.
- Produce monthly reports, S71 and S52 submissions and financial statement disclosures.
- Integrate approved reconciliations and supporting schedules into Financial Statements Management, ensuring audit-ready reporting through full traceability and electronic document control.

Key Principles applied in System Requirements to be Regulated:

Asset Tracking Management

Key Integration Requirements



Key Integration Requirements NOT to be Regulated

- Enable the ability to automatically retrieve documents from the Records Management System Functionality through a document retrieval interface integrated into relevant system functionality.

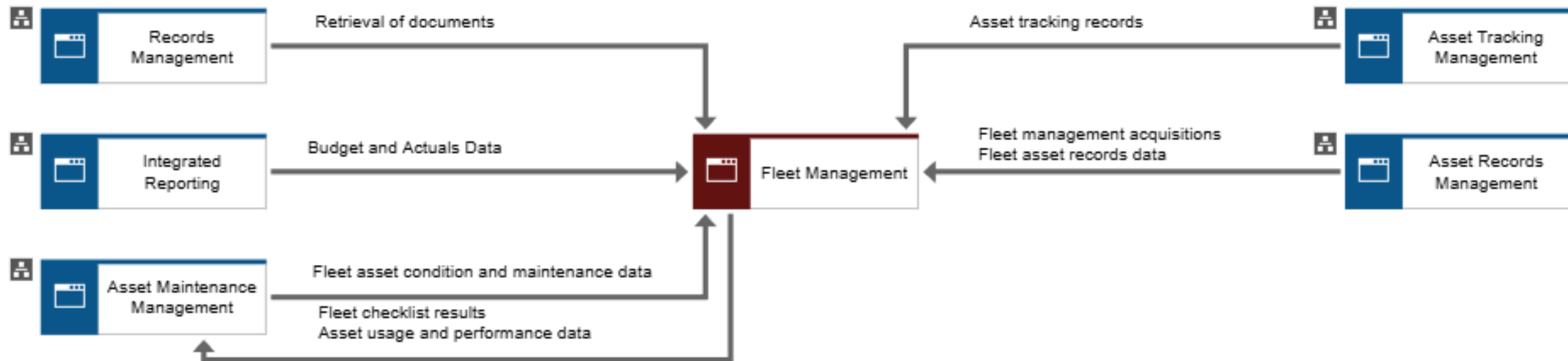
Key Principles in System Requirements to be Regulated

- Enable the tracking of significant and high-risk assets by electronically linking movable assets, fleet assets, and assigned custodians to the Asset Tracking System Functionality.
- Provide GPS activation and GIS integration to display real-time asset location and usage history.
- Support the linking of asset movement to trip records, allocated drivers, sections and geographic areas to improve operational visibility and accountability.
- Ensure automated scanning and electronic identification of assets at defined control points to record movement, reallocation, return and transfer activity.
- Maintain a complete history of asset usage and ownership at transaction level, supported by electronic evidence where required.
- Generate exception alerts for unauthorised movement, inactivity, or abnormal usage and issue automated notifications to responsible officials.
- Enable electronic reporting through movement history listings, usage summaries, exception monitoring and asset reallocation confirmation, ensuring that Asset Maintenance Management and Fleet Management are automatically updated using integrated tracking records.

**Key Principles applied in System Requirements
to be Regulated:**

Fleet Management

Key Integration Requirements



Note: Requirements are not exhaustive – refer to detailed system requirements word document and/or excel version

Key Integration Requirements NOT to be Regulated

- Enable the ability to automatically retrieve documents from the Records Management System Functionality through a document retrieval interface integrated into relevant system functionality.

Key Principles in System Requirements to be Regulated

- Linking of fleet vehicle allocation to approved budgeted data strings and integrated budget and actual expenditure from Integrated Reporting to enforce financial control over fleet utilisation.
- Electronic capture of trip requests and permanent allocation requests using standardised templates, linked directly to the relevant budget allocation. Validate budget availability for trip requests and permanent allocations prior to authorisation.
- Electronic viewing, recommendation and approval of trip authorisation requests and permanent allocation requests by delegated officials. Automated notification of approved trip instructions to assigned officials and drivers.
- Electronic assignment of fleet assets to individuals or sections following approval of permanent allocations.
- Generation of configuration and control reports for fleet management set-up and budget alignment.
- Integration of fleet asset records from Asset Records Management and fleet condition and maintenance information from Asset Maintenance Management to support operational readiness and lifecycle control.
- Integration of asset tracking data from the Asset Tracking System Functionality to support real-time trip verification and utilisation control.
- Electronic capture of pre-inspection and post-inspection results using embedded checklist criteria.
- Integration of inspection outcomes to Asset Maintenance Management for proactive maintenance planning.

Key Principles in System Requirements to be Regulated

- Enable the capture of driver acknowledgement and responsibility undertakings following fleet assignment.
- Enable the recording of fuel consumption and linking of trip logs to approved trip authorisations.
- Enable exception monitoring through fleet usage reports and exception listings for governance oversight.
- Enable electronic booking schedules and internal rosters for pool vehicles and section-allocated fleet assets.

Thank You



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